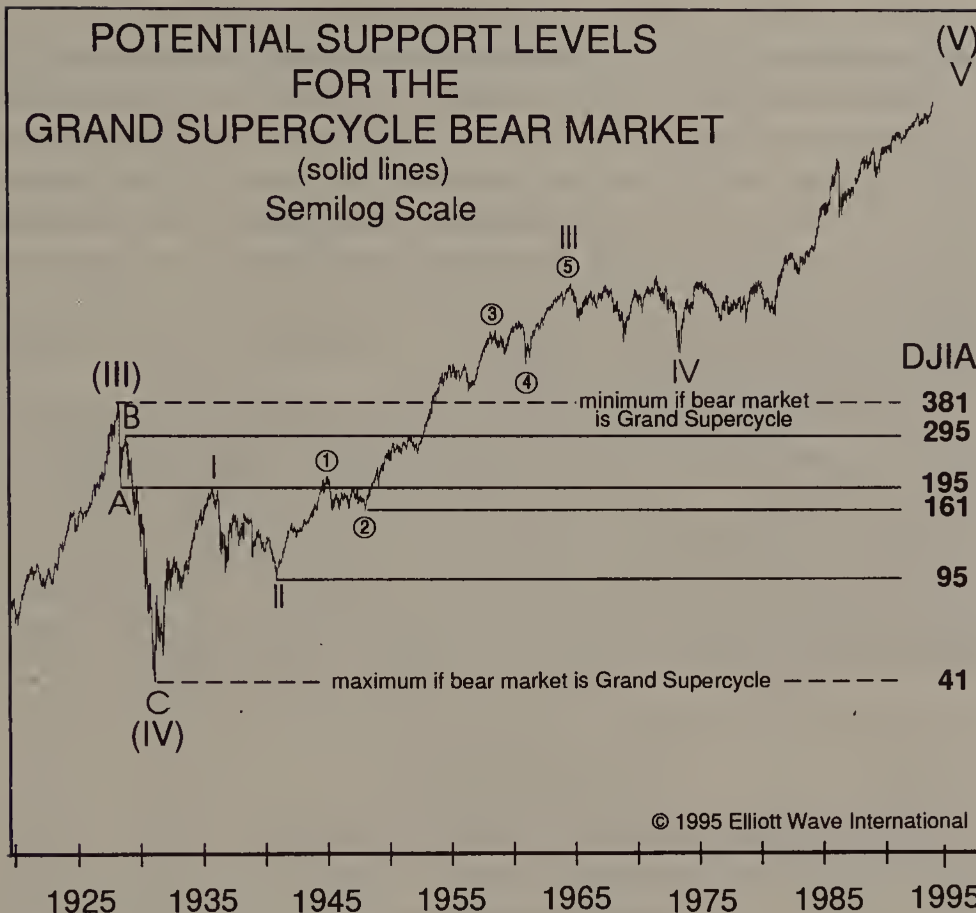

Figure 5-2

issues that were traded at the high, 118 went to zero in the aftermath of the great South Sea Bubble, while the remaining dozen dropped 80% from extreme peak to trough. The average stock, then, lost 98% of its peak value in the debacle, which is at the high end of our projected range. (The figures in Chapters 2 and 5 show a 91% drop in the annual averages of daily readings for 1720 and 1722, not the intra-year extremes.)

Again, while the levels identified here are excellent *candidates* for the low, they are *not yet targets* and should be considered properly in that light. The internal wave structure of the bear market is the only thing that will allow the application of specific targeting techniques, and that opportunity lies several years hence.

For the same reason, we will have to wait for a fair portion of the bear market to unfold before determining *interim* support levels. Until then, I would observe that the **1000** level stands out from the previous wave structure as solid structural support that was